

Organization

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Course agenda

Date	Main theme
13.04.2026	Definitional basics of organization
20.04.2026	Formal organizational design
27.04.2026	Organization and environment
04.05.2026	Strategic organization design
11.05.2026	Technology and organization
18.05.2026	Information technology, AI, and organization
01.06.2026	Informal organization

Date	Main theme
08.06.2026	Informal organization
15.06.2026	Dynamic perspectives on organizing
22.06.2026	Guest lecture, Felix Ehrenfels, mmmake
06.07.2026	Trends in organization design
13.07.2026	Trends in organization design
17.07.2026	Review and wrap-up

Session 07

Informal organization, part 1: Organizing in the wild

What you should be able to do after this session

Learning goals

- Distinguish formal and informal organization
- Understand that many dynamics in organizations emerge from informal, rather than formal organization
- Analyze informal organizations through the notions of culture, knowledge, power, politics, and conflict



Image source: ChatGPT

Roadmap across two sessions



Part 1 (this week)

- Why informal organization matters
- From structure to structuration
- Organizational culture and stories

Part 2 (next week)

- Knowledge in organizations
- Power, politics, and symbolic power
- Integrated application to a case

Opening activation

Think of an organization you know. What is formally specified? What happens informally?



Image source: ChatGPT

Formal and informal organization



Formal organization

- Rationally and deliberately constructed
- Based on rules and obedience
- Rule compliance as a condition of membership
- Logical and consistent structure
- Deviation treated as an exception
- Clear self-description
- Formal sanction mechanisms

Informal organization

- Unplanned and emergent
- Strongly shapes behavior
- Coordinates implicitly
- Develops distinct values and norms
- Regulates communication flows
- Can compete with formal organization
- Includes informal leadership and sanctions

Why informal organization matters

Formal structure is not enacted exactly as designed

Informal organization helps us understand:

- how rules are interpreted in practice
- how communication actually flows
- how status and influence emerge beyond hierarchy
- how norms and sanctions guide behavior
- how coordination happens without being fully planned

→ **Formal organization specifies how organizing should happen, while informal organization shows how organizing is actually enacted.**

Schreyögg, G., & Geiger, D. (2024). Organisation: Grundlagen moderner Organisationsgestaltung. Mit Fallstudien (7th ed.). Springer.

Discrepancy between formal and informal organization

Wells Fargo fake accounts scandal

Formal organization:

- Wells Fargo publicly emphasized customer relationships and helping customers succeed financially.
- Cross-selling was officially framed as needs-based selling, aimed at offering customers products they wanted, needed, and would use.
- Employees experienced strong pressure to hit sales targets and earn bonuses.

Informal organization:

- Employees opened unauthorized deposit and credit card accounts in customers' names.
- Customer funds were sometimes transferred into these accounts without customers' knowledge or consent.



<https://www.nytimes.com/2016/09/09/business/dealbook/wells-fargo-fined-for-years-of-harm-to-customers.html>; Image source: pexels

From structure to structuration

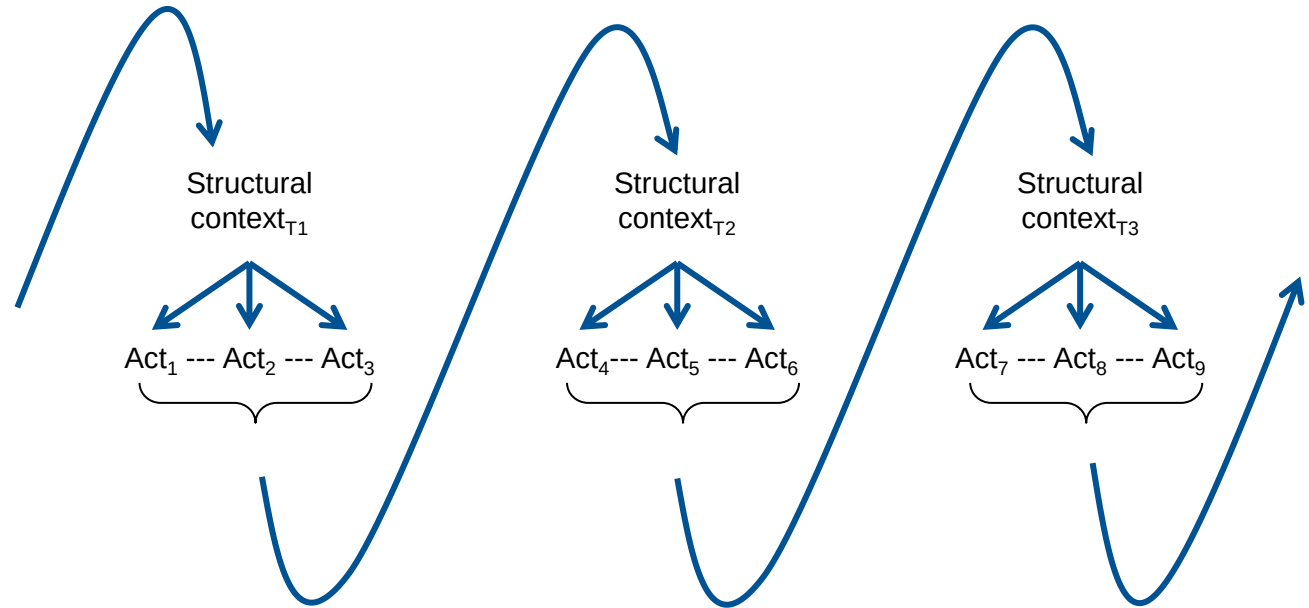
Giddens' structuration theory

- Structure does not simply determine action.
- Action does not simply occur outside structure.
- Structure enables and constrains action.
- Action constitutes and reproduces structure.

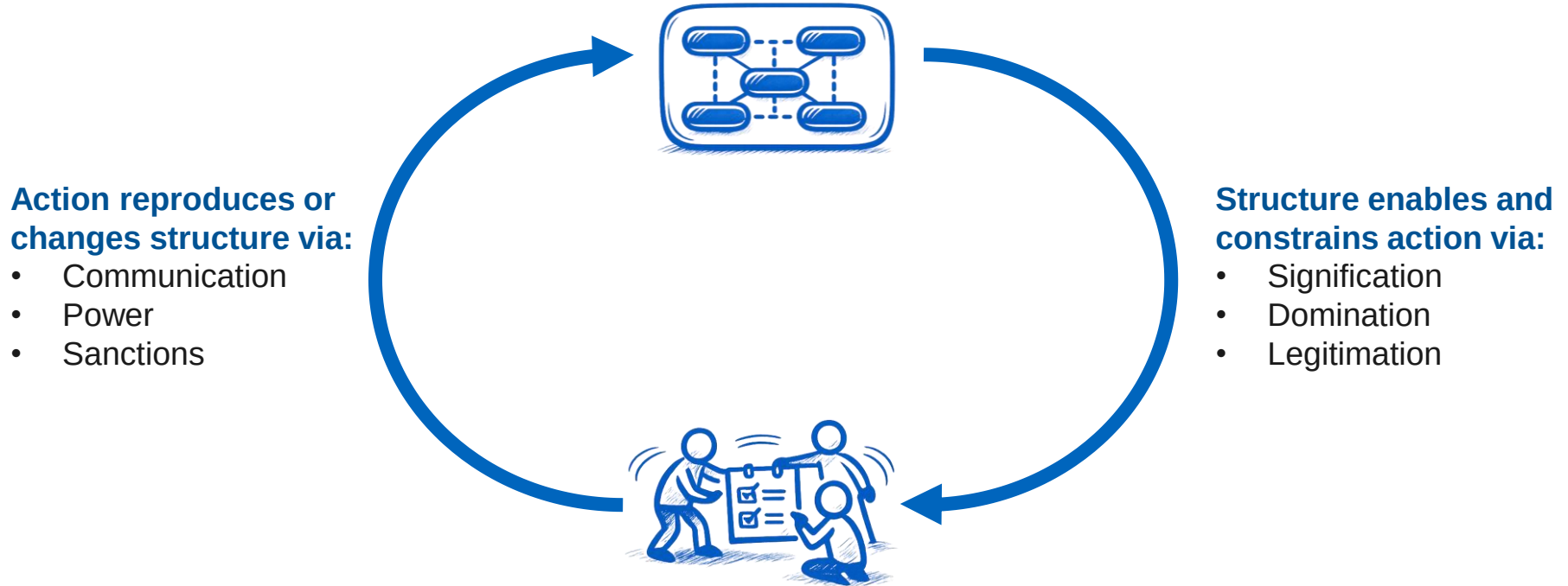
From structure to structuration

Structuration occurs across space and time

- A process in one location can spread to other locations.
- Processes in different places can combine.
- Structuration at one point in time influences what follows later.
- Actions are therefore connected to structural contexts across time and place.



Mechanisms of structuration



Hatch, M. J. (2018). Organization theory: Modern, symbolic, and postmodern perspectives (4th ed.). Oxford University Press.

Diagnosing structuration in practice

Task:

- Choose one organizational rule you know.
- Examine the following questions:
 - How do actors interpret the rule?
 - How do their actions reproduce the rule?
 - When do they deviate from the rule?

Goal:

- Deepen your understanding of how structuration occurs in practice.

Modus:

- Pair work.

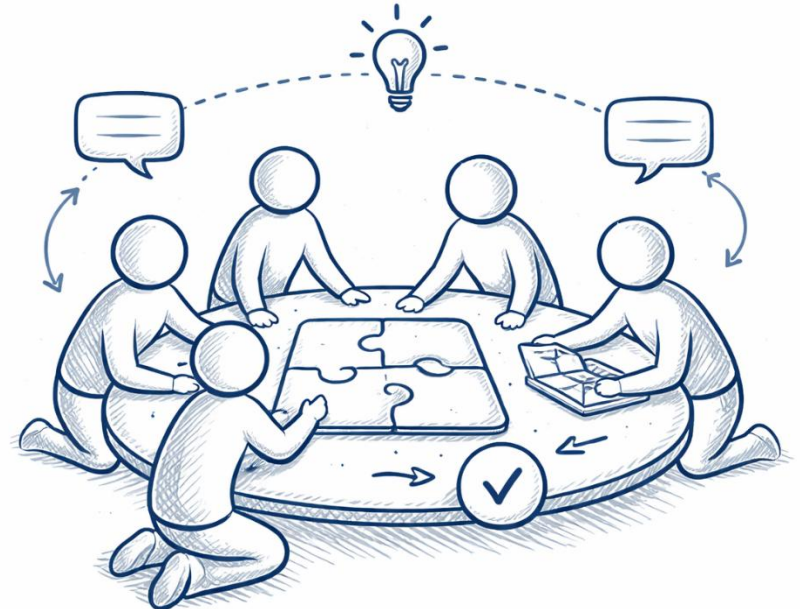
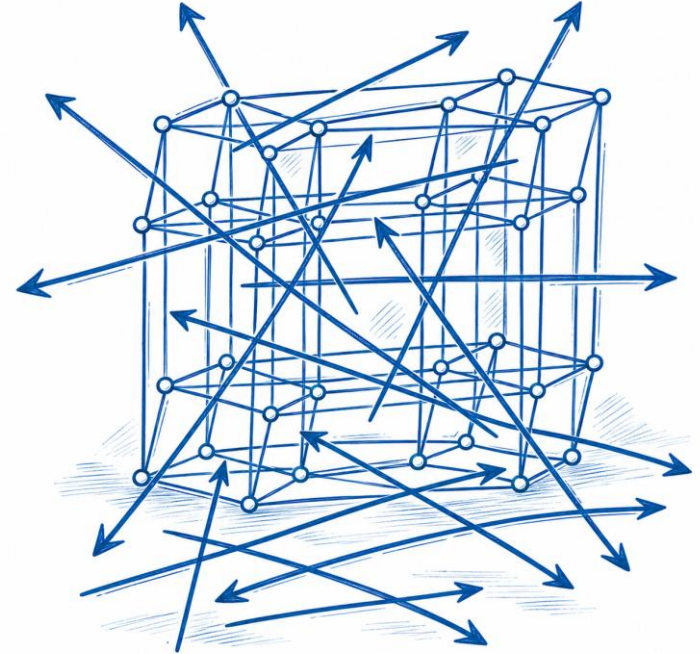


Image source: ChatGPT

Lines of flight

- Escape routes that penetrate bureaucracy or hierarchy
- Opportunities within repressive social structures
- Ways to escape or undermine repression of thinking
- Possible responses tight formal structures



Hatch, M. J. (2018). Organization theory: Modern, symbolic, and postmodern perspectives (4th ed.). Oxford University Press; Image source: ChatGPT

Concepts to capture informal organization



Culture

Knowledge

Power, politics, and conflict

Concepts to capture informal organization



Culture



Knowledge



Power, politics, and conflict

Origins of culture



- Culture originally referred to the cultivation of crops.
- The meaning later expanded to the cultivation of humans in society.
- In organization theory, culture is used to analyze:
 - shared understandings
 - symbolic expression
 - patterns of meaning
 - values and norms

Definitions of culture

Selected definitions

Author	Definition
Elliott Jaques (1952)	"The culture of the factory is its customary and traditional way of thinking and doing of things, which is shared to a greater or lesser degree by all its members, and which new members must learn, and at least partially accept, in order to be accepted into service in the firm."
Andrew Pettigrew (1979)	"Culture is a system of publicly and collectively accepted meanings operating for a given group at a given time. This system of terms, forms, categories, and images interprets a people's own situation to themselves."
Meryl Reis Louis (1983)	"Organizations [are] culture-bearing milieux, that is, distinctive social units possessed of a set of common understandings for organizing action and languages and other symbolic vehicles for expressing common understandings."
John Van Maanen (1988)	"Culture refers to the knowledge members of a given group are thought to more or less share; knowledge of the sort that is said to inform, embed, shape, and account for routine and not-so-routine activities. Culture is expressed through actions and words and must be interpreted by a fieldworker."
Harrison Trice and Janice Beyer (1993)	"Cultures are collective phenomena that embody people's responses to the uncertainties and chaos that are inevitable in human experience. These responses include ideologies and observable cultural forms through which members express, affirm, and communicate the substance of their culture."

Hatch, M. J. (2018). Organization theory: Modern, symbolic, and postmodern perspectives (4th ed.). Oxford University Press.

Definitions of culture

Common characteristics of culture across definitions

Characteristics	Explanation
Shared meanings	Members hold common understandings and interpretations
Learned and transmitted	Culture is acquired through socialization and participation
Guides action	Culture shapes how members think and behave
Collective phenomenon	Culture exists at the group or organizational level
Symbolically expressed	Culture becomes visible in language, rituals, stories, symbols
Embedded in practices	Culture is enacted in everyday activities
Enables sensemaking	Culture helps members interpret uncertainty and situations

Effects of organizational culture



Positive effects

- Orientation for action through complexity reduction
- Efficient communication, information processing and decision-making
- Accelerated implementation of plans and projects
- Low control effort
- High motivation and loyalty
- Stability and reliability

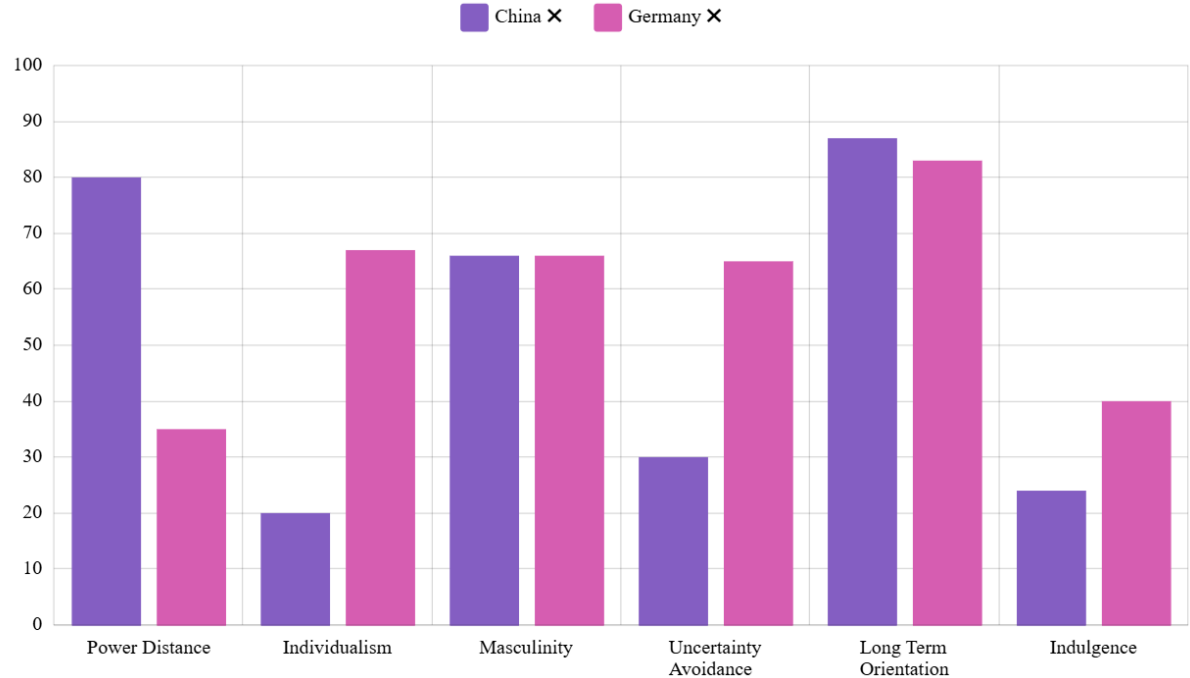
Negative effects

- Tendency toward closure; glosses over novel information
- Fixation on past success patterns
- Avoidance of self-criticism
- Implementation barriers
- Lack of flexibility

Dimensions of national culture

Hofstede's 6D model

1. Power distance
2. Individualism
3. Masculinity
4. Uncertainty avoidance
5. Long-term versus short-term orientation
6. Indulgence



<https://geerthofstede.com/country-comparison-bar-charts/>

Dimensions of national culture

Task:

- Go together with a student from a different culture.
- What is a main difference in your cultural style?
- How does this become visible in work practices?

Goal:

- Deepen your understanding of national culture.

Modus:

- Pair work.

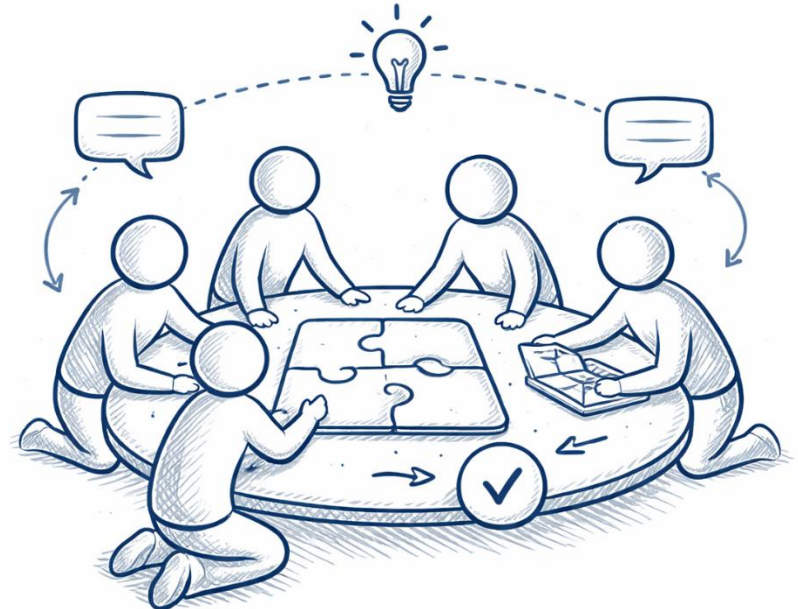
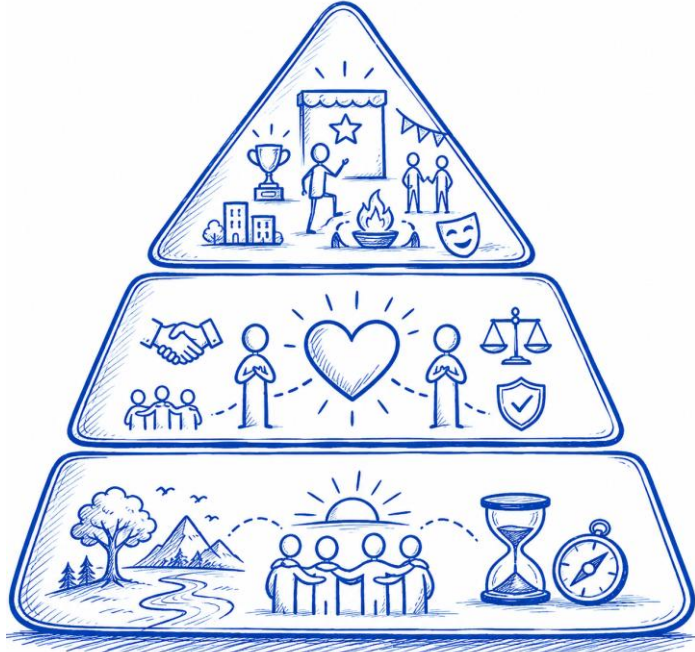


Image source: ChatGPT

Schein's organizational culture model



Artifacts

- Highly visible and designed on purpose
- Need to be situated in context

Values

- Social principles, goals, and standards
- Define what members care about
- Guide assessments of right and wrong

Basic assumptions

- Taken-for-granted beliefs about reality
- Often difficult for members to state
- Influence what members perceive, think, and feel

Artifacts as cultural indicators

Artifacts are tangible indicators of cultural values and assumptions

Objects

- Art / design / logo
- Architecture / decor / furnishings
- Dress / appearance / costume / uniform
- Products / equipment / tools
- Displays of posters / photos / memorabilia / cartoons / signage

Verbal expressions

- Jargon / names / nicknames
- Explanations / theories
- Stories / myths / legends and their heroes and villains
- Superstitions / rumors
- Humor / jokes
- Metaphors / proverbs / slogans
- Speeches / rhetoric / oratory

Activities

- Ceremonies / rituals / rites of passage
- Meetings / retreats / parties
- Communication patterns
- Traditions / customs / social routines
- Gestures
- Play / recreation / games
- Rewards / punishments

Examples of artifacts



Image source: ChatGPT



Tipps for collecting and analyzing artifacts

- Observe the use of specific artifacts, objects, behavior, language.
- Consider all types of artifacts in order to expand your collection.
- Resist the temptation to interpret individual artifacts.
- Pay particular attention to artifacts that are surprising.
- As you proceed, ask “locals” for their interpretations of artifacts, but make sure that you interview more than one person.
- Look for emotional expressions and responses, actual words used, tone of voice.

Cultural types

According to Deal and Kennedy (1982)



Exercise: Objects at Bildungscampus

Task:

- Leave the room and find one object outside of this seminar room
- Take a photo of the artefact
- Copy the photo into a slide in [Google drive](#)
- Discuss what the artifact reveals about the culture of the Bildungscampus
- You will have 20 minutes
- Please set a timer!

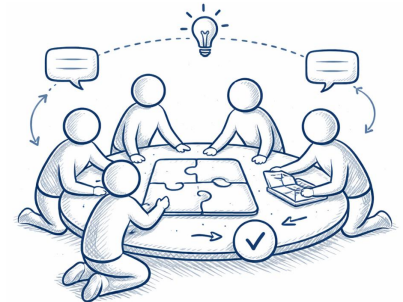
Goal:

- Deepen your understanding of artifacts as evidence of culture.

Modus:

- Group work.

Image source: ChatGPT



Strong and weak culture

Criteria for assessing cultural strength

Conciseness

Clarity of cultural norms and rules.
Strong cultures provide clear expectations about what is desired.

Degree of dissemination

Extent to which members share the culture.
Strong cultures guide the actions of many members.

Depth of anchoring

Extent to which culture is taken for granted.
Strong cultures are less questioned and reflected upon.

Cultural sharing and difference



Cultural sharing suggests agreement or consensus.

But culture also maintains difference. Cultures can:

- allow similarity and agreement on some matters
- rely on differences
- accommodate disagreement
- support coordination without complete uniformity
- provide a shared framework of belonging

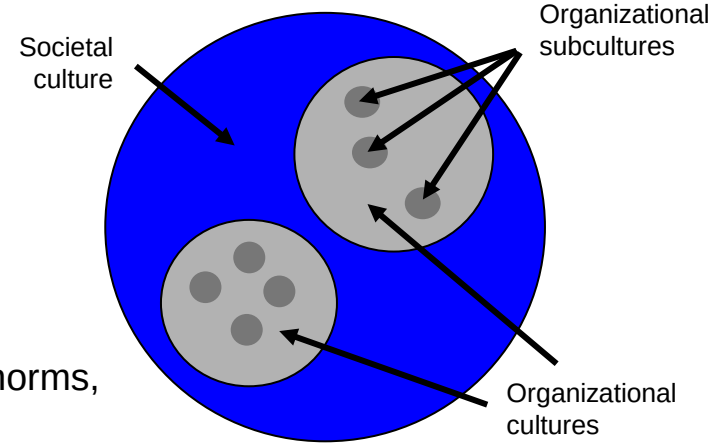
Subcultures

Subcultures may emerge within:

- Profession and occupation
- Regional or national identity
- Shared space
- Shared equipment or tasks

Relations between subcultures

- **Enhancing subculture:** Supports dominant values, beliefs, norms, and expectations
- **Orthogonal subculture:** Maintains independence without overt conflict
- **Counterculture:** Overtly challenges dominant values, beliefs, norms, and expectations



Culture clash



Culture clashes occur when individuals, units, or organizations linked to different cultures encounter one another.

They can appear when:

- employees join organizations
- organizations move into new regional or national cultures
- organizations merge or acquire others
- subcultures interact inside the same organization

Subcultures at TUM

What are the subcultures at TUM? Did you observe clashes among them?



Image source: ChatGPT

Stories and organizational culture



- Stories reveal culture and distinctive practices.
- Organizational stories can:
 - provide an experience of what a culture is like
 - express unique identity
 - communicate shared meanings
 - help maintain organizational culture
- Stories reveal expectations about hierarchy, sanctions, mistakes, and successes.
- But stories claiming uniqueness may rely on common story types.
- This is called the uniqueness paradox.

Common story themes



- What happens when a higher-status person breaks a rule?
- Is the big boss human?
- Can a little person rise to the top?
- What will get someone fired?
- What happens when the organization asks someone to move?
- How will the boss react to mistakes?
- How will the organization deal with obstacles?

Stories as evidence of organizational culture

3M: The Post-it Note Story

- 3M scientist Spencer Silver accidentally developed a weak adhesive.
- The adhesive seemed commercially useless at first.
- Art Fry later used it to create a bookmark that would not fall out of his hymnal.
- This became the basis for the Post-it Note.
- The story illustrates 3M's culture of experimentation, autonomy, and tolerance for unexpected outcomes.
- It also reflects the value of informal problem-solving and intrapreneurship.



https://www.post-it.com/3M/en_US/post-it/contact-us/about-us; Image source: pexels, Vanessa Riecke

Stories as evidence of organizational culture

Patagonia: “Don’t buy this jacket”

- Black Friday 2011, Patagonia published an ad saying: “Don’t Buy This Jacket”
- The ad highlighted the environmental costs of producing and consuming clothing
- Patagonia encouraged customers to buy less, repair products, and use items longer
- The story reveals a culture of environmental responsibility and anti-consumerist branding
- Founder Yvon Chouinard later reinforced this culture with the statement: “Earth is now our only shareholder”
- Cultural tension: Patagonia criticizes consumption while remaining a successful apparel company



<https://www.patagonia.com/stories/planet/activism/dont-buy-this-jacket-black-friday-and-the-new-york-times/story-18615.html>

Stories at TUM

What are the stories you hear again and again? What do they reveal about culture?



Image source: ChatGPT

Takeaways from today

Informal organization explains why formal structures are not enacted exactly as designed.

Structuration shows how structure and agency reproduce social order.

Culture provides shared artefacts, norms, and assumptions.

Cultures are not uniform, as shown by different levels, subcultures, and cultural clash

Cultures are also evidenced through stories.

Informal organization includes more than culture. Next time, we look into knowledge, power, and politics.

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